

Ashbourne Industries, Inc.

2024 Monthly Trial Balance – Audit Results

Career Catalyst: Audit work

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Several white lines of varying lengths and angles are positioned in the bottom right corner of the slide, creating a modern, abstract graphic element.

Year-end summary (December)

Code	Description	Total
10000	Assets	1,263,879,322
20000	Liabilities & Equity	(1,263,879,320)
30000	Revenue	(988,385,863)
40000 to 80000	Expenses	890,982,485
	Net (should be 0)	(97,403,376)

473 accounts. Debits positive, credits negative. Revenue and expenses are cumulative, so December is the full year.

Does it balance each month?

JAN–NOV

Within \$1 to \$8 of zero each month.
Rounding only.

DEC

Out of balance by (97,403,376).

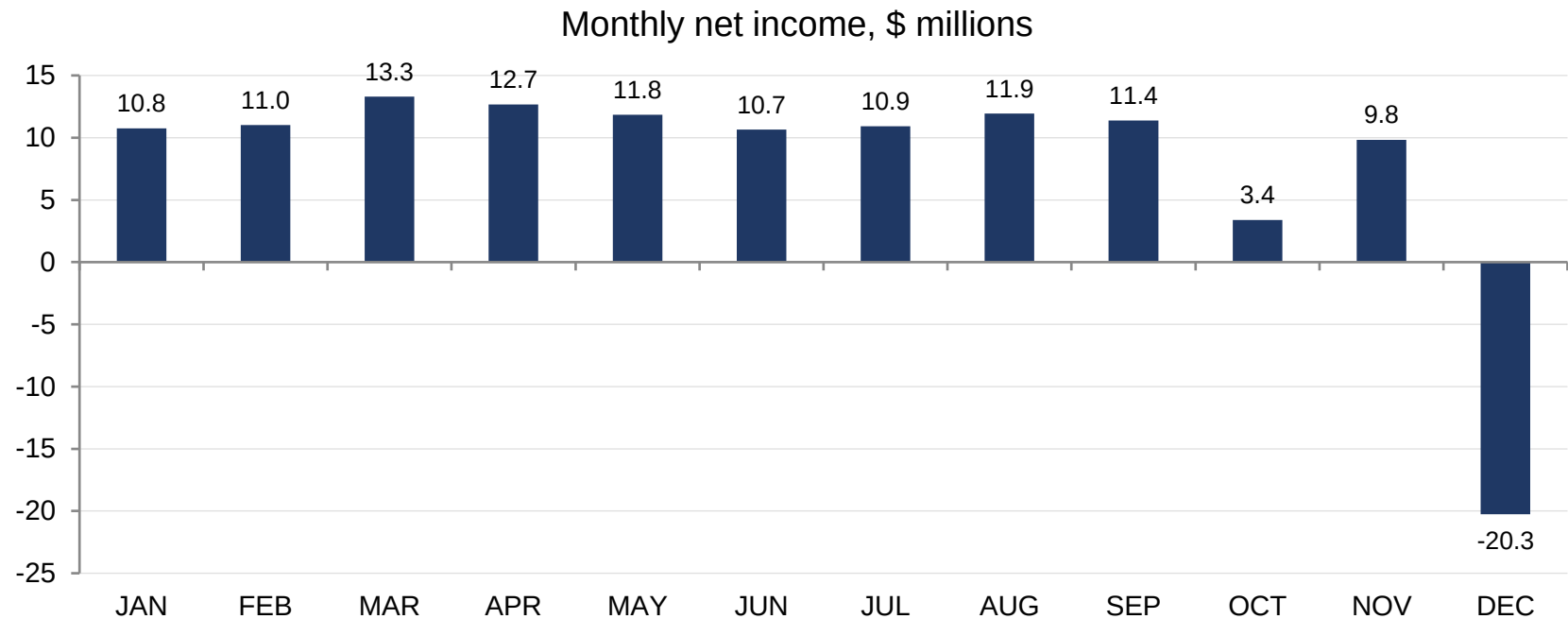
Largest January–November difference: 8 (May).

Why December is out of balance

Item	Amount
Year-to-date net income (revenue and expense accounts)	97,403,378
Retained Earnings (29205): November	220,435,578
Retained Earnings (29205): December	123,032,200
Movement in Retained Earnings	(97,403,378)
Imbalance if revenue and expenses were closed	2

Net income was booked to Retained Earnings while the revenue and expense accounts stayed open, so it is counted twice.

Net income by month



Monthly figures come from cumulative balances. October is low (3.4m); December is negative because cumulative net income falls from 117.7m to 97.4m.

Data-quality flags (121 in total)

- 22 accounts have no balance after November
- 21 accounts first appear in December
- 10 liabilities carry a debit balance in December (for example Accrued Trade 22100: 8,647,577)
- 7 assets carry a credit balance in December (for example Finished Goods 14314: (94,284,618))
- Prepaid acquisition 15160: 326.7m added in September, cleared in December
- Account names are truncated; use account codes

Recommendations

- Close revenue and expense accounts to Retained Earnings, or reverse the Retained Earnings entry
- Obtain support for the September debt reclassification and the prepaid acquisition cleared in December
- Review debit-balance liabilities and credit-balance assets for misposting